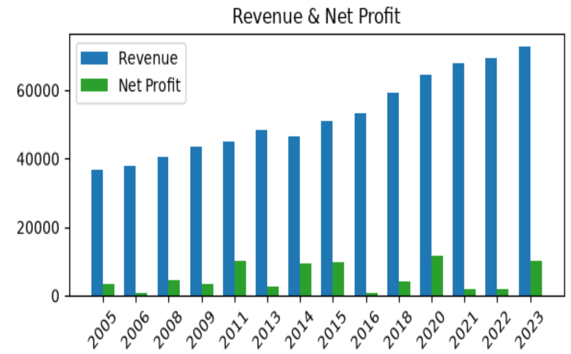
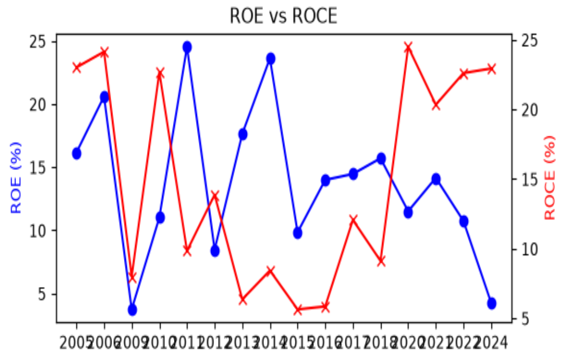
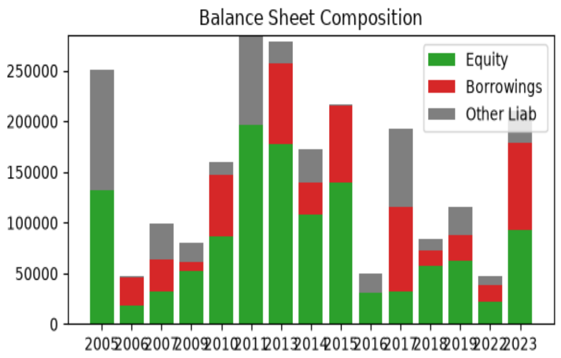
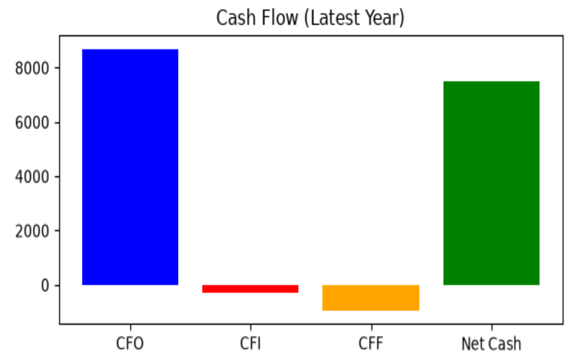
Bajaj Finserv Ltd (BAJAJFINSV)

Revenue	Rs. 72692.5 Cr	Net Profit	Rs. 10018.3 Cr	OPM	25.7%
ROE	4.3%	ROCE	22.9%	D/E	2.12









Capital Allocation Pattern: Dividend Payer

Pros:

- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Revenue growing slower than profits shows improving operating leverage and scale benefits

Cons:

- Debt-to-equity ratio of 2.1 is elevated for a non-financial company and warrants monitoring
- Dividend payout ratio above 100% means the company is paying dividends from reserves, which is unsustainable
- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk
- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility